

Accounting & Financial Reporting Guidelines

Policy ID: FIN-ACC-001 **Version:** 1.0 **Effective:** 27 Sep 2026

Owner: Corporate Accounting

Status: Internal / fictional policy for the FINOP demonstration environment

Purpose

Provide high-level internal guidance for consistent financial reporting, revenue, expenses, estimates, reconciliations, and disclosure support.

Standards alignment note

Original policy language designed for the FINOP demo. The control structure is informed by widely used principles for internal control, risk management, financial reporting, and revenue recognition, including COSO-style control concepts and IFRS-style revenue principles; it is not a reproduction of any proprietary standard and does not claim regulatory compliance.

1. Reporting basis

- The entity should document the accounting framework applicable to its reporting jurisdiction and reporting purpose.
- These guidelines are a management policy layer and do not replace the applicable accounting standards or statutory requirements.

2. Revenue

- Revenue accounting should reflect the applicable contractual terms, performance obligations, transaction price, allocation, and transfer of control where IFRS 15 or an equivalent framework applies.
- Analytical revenue metrics must clearly define whether they are gross, net of discounts, tax-inclusive, or shipping-inclusive.

3. Expenses and accruals

- Expenses should be recognized in the appropriate period under the applicable accounting framework.
- Accruals must be supported by a reasonable basis and reversed/updated when underlying obligations are resolved.

4. Estimates and judgments

- Material estimates require documented assumptions, source data, methodology, reviewer, and sensitivity where relevant.
- Changes in estimates must be distinguished from errors and policy changes under the applicable framework.

5. Inventory and cost

- Inventory and cost accounting must use the entity's approved valuation methodology and applicable accounting standards.
- Shipping cost, tax, and operating expense must not automatically be treated as product cost without support.

6. Reconciliations and close

- Balance-sheet and key subledger reconciliations should be completed on schedule.

- Unresolved differences must be aged, assigned, and escalated according to materiality.

7. Management reporting

- Management dashboards may use operational metrics that differ from statutory accounting measures, but definitions must be explicit.
- AI-generated narratives must preserve these definitions and limitations.

8. RAG retrieval anchors

- Revenue recognition
- Transaction price
- Performance obligation
- Accrual
- Estimate
- Inventory valuation
- Management reporting
- Accounting framework

Document control: Review at least annually and whenever a material business, regulatory, accounting, technology, or risk change occurs. This document is not legal, accounting, tax, or regulatory advice.